

Microsoft Corporation

Equity research and discounted cash flow valuation

NASDAQ: MSFT / Historical valuation date: 31 July 2025 / Prepared by Trimanjeev Sawhney

Investment view: strong business, demanding valuation

The Base case implies **\$312.74 per share**, 41.4% below the historical reference price of \$533.50. Under these assumptions, the price requires stronger or longer growth, better capital efficiency, or a lower required return than the model allows. This is a historical research case, not a current price target.

Valuation range

Operating case	WACC	Value / share	Vs. reference price
Downside	9.90%	\$175.95	(67.0%)
Base	8.90%	\$312.74	(41.4%)
Upside	8.40%	\$474.85	(11.0%)

Terminal growth is 3.0% in the Base case, with 20% terminal return on invested capital. Terminal value contributes **81.6%** of enterprise value, making the long-term assumptions a major source of uncertainty.

Reported financial context

FY2025 metric	USD billions	Valuation relevance
Revenue	281.7	Starting point for the operating forecast.
Operating income	128.5	Operating margin of 45.6%.
Operating cash flow	136.2	Cash generated before investment and financing.
Cash capex / new finance leases	64.6 / 20.5	Both forms of asset investment enter the model.

Base-case operating forecast



Company figures: Microsoft FY2025 Annual Report [1]. Price: Nasdaq Dorsey Wright, 31 July 2025 [2]. Forecasts and capital-cost inputs are independent estimates, not management guidance. Scenario results are a static snapshot of the supplied workbook.

Assumptions and research priorities

Base-case drivers

Driver	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue growth	16.0%	15.0%	13.0%	11.0%	9.0%
Operating margin	45.5%	46.0%	46.5%	47.0%	47.5%
Cash capex / revenue	26.0%	25.0%	23.0%	20.0%	18.0%
Lease additions / revenue	8.0%	7.0%	6.0%	5.0%	4.0%
Operating NWC / revenue	-6.7%	-6.7%	-6.7%	-6.7%	-6.7%
Operating tax rate	21.0%	21.0%	21.0%	21.0%	21.0%

Capital-cost estimates: 4.3% risk-free rate, 4.5% equity risk premium, 1.05 beta, 4.5% pre-tax borrowing cost and 21% debt tax shield. Capital weights use historical market equity value and reported debt plus finance leases.

What would support a higher valuation

Cloud and AI monetization: sustained growth above the Base path with stable or improving margins. **Capital efficiency:** better utilization and lower investment intensity without sacrificing growth. **Evidence to monitor:** cloud growth, operating margin, capex plus new leases, and conversion of operating profit into free cash flow. These are research hypotheses, not scheduled catalysts.

Downside risks

Slower demand or weaker monetization could reduce revenue growth. Competition, infrastructure depreciation and operating costs could pressure margins. Continued high datacentre spending would delay cash conversion. Higher required returns or weaker terminal economics would reduce present value.

Valuation method

Cash flow: after-tax EBIT + depreciation and amortization - cash capex - new finance-lease assets - change in operating working capital. SBC remains in operating expense and is not added back. Existing intangible amortization follows the published schedule.

Capital assets: estimated lives are six years for opening PP&E and eight years for new assets, with a half-year convention. Working capital excludes cash, separately reported tax liabilities, PP&E payables and lease liabilities.

Terminal and equity value: terminal NOPAT funds reinvestment at growth / ROIC. Discounted cash flows form enterprise value; cash and investments are added, while debt and finance leases are deducted. Operating leases remain in operating costs. Period-end shares are held fixed.

Scope, timing and validation

The model uses June 2025 balance-sheet values and fiscal year-end discounting from 31 July 2025. FY2026 cash flow is prorated to 334/365; July balance-sheet changes are not modeled. Investment carrying values approximate realizable value. No acquisitions, disposals, impairments, option valuation or separate OpenAI valuation are included.

All three cases and the 25-cell sensitivity grid were independently checked. Saved copies were recalculated in LibreOffice, including input-change and missing-data tests. All five reconciliations pass. Desktop Excel was not tested. Change Assumptions!D5 to switch cases; refresh this report after changing the workbook.

Sources

[1] Microsoft FY2025 Annual Report: financial statements and Notes 6, 9 and 13.

[2] Nasdaq Dorsey Wright, 31 July 2025: MSFT historical reference price.